



Singapore Estate Agents Association

Lessons 5 & 6

- Law of Contract
- Vitiating Factors
- Remedies
- Option to Purchase (Completed Properties) , Sales & Purchase Agreement
- Law Society's Conditions of Sale

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What is a Contract?

1. A **contract** is a **voluntary agreement** between two or more parties that is enforceable by law.
 - a. Sets the **rights and duties** (obligation) of contract parties.
 - b. General contract need not be written to be **valid**
 - Formed verbally or by conduct
 - No specific form or formalities
2. Formation of a contract generally requires **4 legal elements**:
 - a) **Offer**
 - b) **Acceptance**
 - c) **Consideration** and
 - d) **Intention to create legal relations**
3. Contract must be **Certainty and Completeness**
 - **3Ps → Parties, Price, Property**

1st Element of Contract - Offer

1. Offer is an **expression of willingness** (“*proposal*”)
2. Made by **offeror to offeree** → **perform a promise**
 - Example 1:
Seller (**offeror**) to Buyer (**offeree**)
“ Would you like to buy my house at \$1,000,000 ?”
 - Example 2
Buyer(**offeror**) to Seller (**offeree**)
“I would buy this land at \$1000 psf.”
3. Offer is usually made in
 - **Writing**
 - **Verbally**
 - **By conduct.**
4. An Effective Offer must be **communicated to offeree.**
 - **Offeror** sends offer letter on **Monday** and it **reached offeree** on **Wednesday**
 - **Offer** is made on **Wednesday**.

Invitation to Treat

5. Invitation to Treat is NOT an offer !



Example 1 - Display of goods with price tags

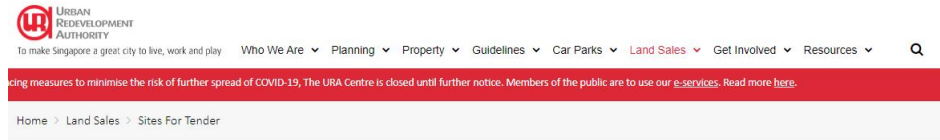
Invitation to Treat

Example 2 - Auction



SEASCAPE 3RM #07. 2164sf
Full sea view. Bright, Windy,
Spacious layout with Pte Lift.
Auction 23/06.

Example 3 – Tender Notice



Sites For Tender

There are no site currently available for tender.

Related



Buy eDeveloper's Packet



FAQs for Prospective Tenderers

Example 5 - Advertisement

BRAND NEW ROYAL Green
F'hold 2rm. Walk to 6th Ave.
MRT/Mall \$1.903M

Termination of Offer

A. **Withdrawal of Offer (Revocation of Offer)**

General Rule

1. Offer can be withdrawn at any time **prior to it has been accepted**
2. Withdrawal of offer must be **communicated to offeree → Valid**
3. Withdrawal of offer can be made **by a third party not necessary must be made by offeror.**

Example 1

* Communication of revocation can be delivered by **salesperson**.

Example 2

* Withdrawal of offer is made by offeror's relative to offeree.

4. Offeree **had knowledge** of revocation (withdrawal) of offer.
5. If an offer is **open for a fixed period**, **offeror can withdraw offer without legal liability**

Example 3 → Routledge v Grant

Important Note:

There is **no obligation to keep an offer open** for any particular time except through **Option to Purchase**.
Such **offer** must be supported by a **consideration**.

Termination of Offer

- B. **Withdrawal of Offer → Replaced or Substituted by Fresh Offer**
- **Fresh offer must stipulate that it supersedes earlier offer**

Example 4

A letter states previous offer is replaced by a fresh offer.

- C. **Lapse of Time**
- An offer is made with a deadline for acceptance and expires after deadline.
 - If there is no deadline, Court presumes offer lapse after **reasonable time**.
- D. **Failure of a Condition**
- Offer made **subject to condition**; the condition **is not met**, offer automatically **terminates**
- E. **Death of Offeror / Offeree**
- Offeror/Offeree may not know the **other party is dead and offer is terminated**
- F. **Rejection and Counter Offer**
- **Rejection** must be made in **writing, verbally** or **by conduct**.
 - must be communicated → cannot revived offer.
 - **Counter Offer → Rejection**
 - **Accepts an offer with new conditions → Counter Offer**

2nd Element of Contract - Acceptance

1. An acceptance is an **expression of approval** to the **offer** proposed by the offeror
2. Acceptance must be **unconditional** and **unqualified**
 - acceptance must be on the **same terms** as the offer
 - No new conditions attached
3. If acceptance is **conditional**, this will amount to **counter-offer**.
4. Acceptance must be **communicated and conveyed** to **offeror**
5. Acceptance must be made
 - **Writing**
 - **Verbally**
 - **By Conduct**

Note:

1. **Silence** will **not** amount to an acceptance
2. Once acceptance has been **communicated** to an offeror, it cannot be withdrawn !

6. **General Communication Rules of Acceptance**

a) **Prescribe Acceptance**

Example 1

Seller grants Option to Purchase. To accept the offer, buyer must exercise the **OTP's acceptance copy** and **handover** to seller or seller's solicitor.

b) **Postal Rule of Acceptance** (an exception to communication rule)

Example 2

Offeree accepts offer and send by post to **Offeror**.

- Acceptance is **effective** as soon as the letter is **posted**.
- **It does not matter whether letter reaches offeror.**

3rd Element of Contract - Consideration

1. Consideration (“benefits”) is:

1.1 - Something legally of value given

Example 1: *Something of value given in exchange for a promise.*

Andy places a deposit to developer in exchange for the promise of selling a coffeeshop at \$10 million

1.2 - Promised by one party in exchange for something Promised by the other party

Example 2: *A promise exchanged for another promise. (Executory Consideration)*

Apple store promises to sell 1st batch of iPhone 15 to James. In return, James promises to buy above market rate at \$3000 when the phone is ready for delivery.

2. In business, consideration is usually referred to **money** but is not restricted to money

3. Consideration must be **sufficient but need not be adequate**

- The law is not concerned about whether bargain is fair or correct
- **\$1 consideration** is good enough to enforce a contract.

4. **Past consideration** is no consideration

Example – Past Consideration

Janice and Jonathan were university classmates. Jonathan introduced Janice a condominium near a MRT station and brought her to a show flat gallery. Janice was satisfied with the sample units and bought the property. After Janice signed the contract with a developer through salesperson Jonathan, in a show of gratitude supporting old classmates, Jonathan promises to give Janice \$5,000 furniture voucher for purchasing the condominium. Jonathan's motivation for making this promise is the past benefit. Janice cannot rely on these promises.

Case Study (Past Consideration) - *Tony Sim v Lim Ah Ghee* (1994) 3 SLR 1 and (1995) 2 SLR 401.

Tony Sim, a civil servant at material time, introduced the owner of some Goldhill properties to Lim, a salesperson who was fronting for two other salespersons Wong & Kang.

Wong & Kang found a buyer who paid \$93 million for the Goldhill properties, and Lim was paid \$465,388 as commission. Sim sued Lim for quarter share of commission, claiming that the introduction of owner entitled him to the share

Judgment:

On the facts, Sim had initially considered the help he rendered to Wong & Kang & Lim as gratuitous (unjustified). He wanted the share only after the introduction was made. The introduction was past consideration.



4th Element of Contract - Intention to Create Legal Relations

1. Once an offer has been accepted, *there is an agreement, but not necessarily a contract*.
The element that converts any agreement into a contract is "**intention to create legal relations**".
2. Offer + Acceptance = Agreement only !
Agreement + Intention + Consideration = Contract

Meeting of Minds

3. A meeting of the minds is an agreement between parties where **each party is aware** of the commitments being made by each individual.

It is a phrase in contract law used to describe the intentions of the parties forming the contract.
4. Contractual intention necessary for enforceable contract.
5. Business and Commercial Agreement
For any commercial transactions, State Court of Singapore will make presumption that there is always existing such intention
6. Social and Domestic Agreement → No presumption of intention to be legally bound

Example

Husband promised to pay his wife \$2,000 per month for duration of his overseas posting is not a binding.

Subject to Contract

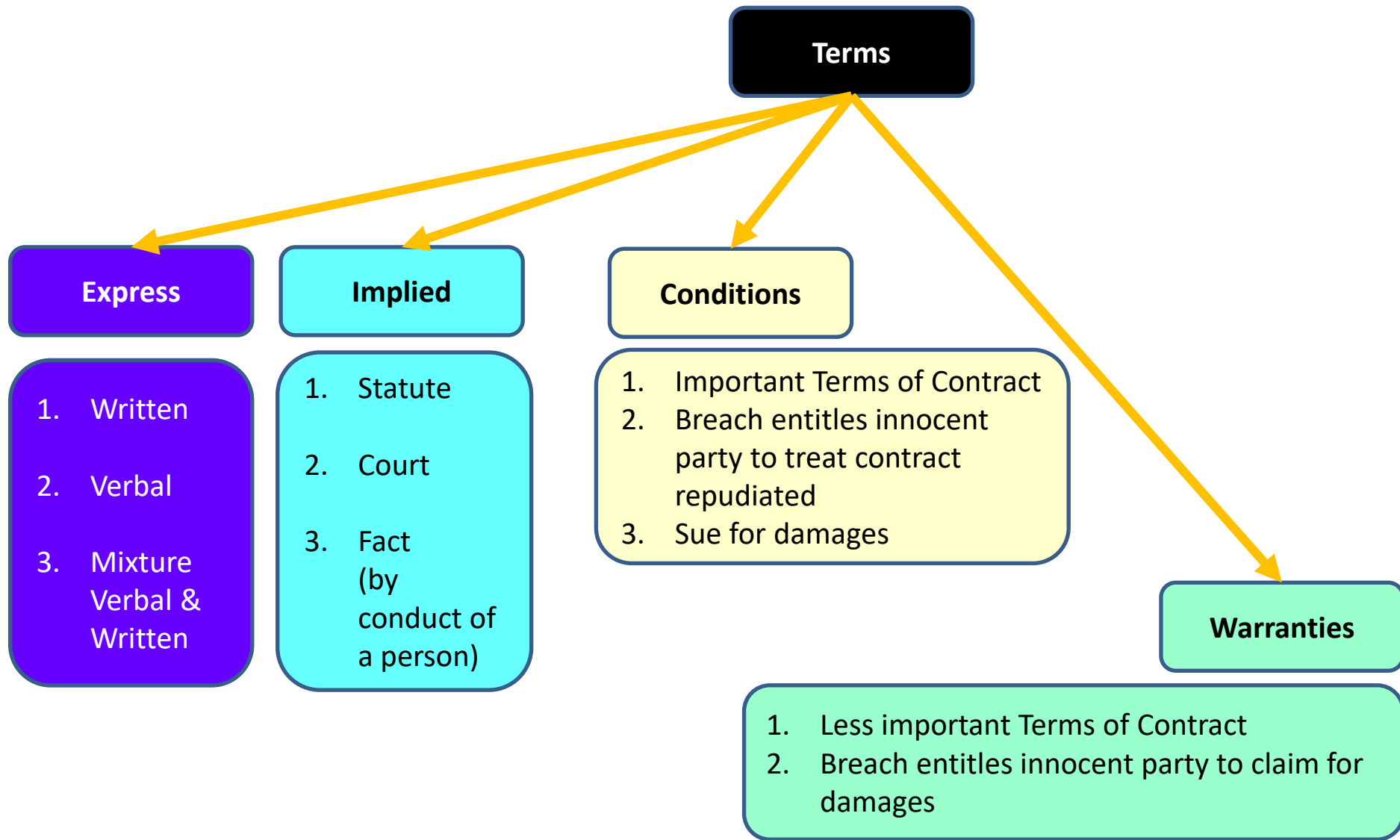
1. "Subject to contract" clauses are indicating that an agreement is **incomplete** until the terms of a formal contract have been settled
2. An **incomplete agreement** is an **unenforceable** contract
3. Agreements made '**subject to contract**' and is **not to be legally bound** until the execution of a **formal document**

Example 1 – Purchase under construction unit from Developer

- OTP subject to signing of S&P

Example 2 – Tenant makes an offer

- Letter of Intent (LOI) subject to signing of Tenancy Agreement



Status of a contract

A contract is made when all the elements are present

Contract = Offer + Acceptance + Intention + Consideration.

Whether that contract is **enforceable** depends on its **status**
(whether the courts will give effect to it / parties can sue on it)

1. Valid Contract

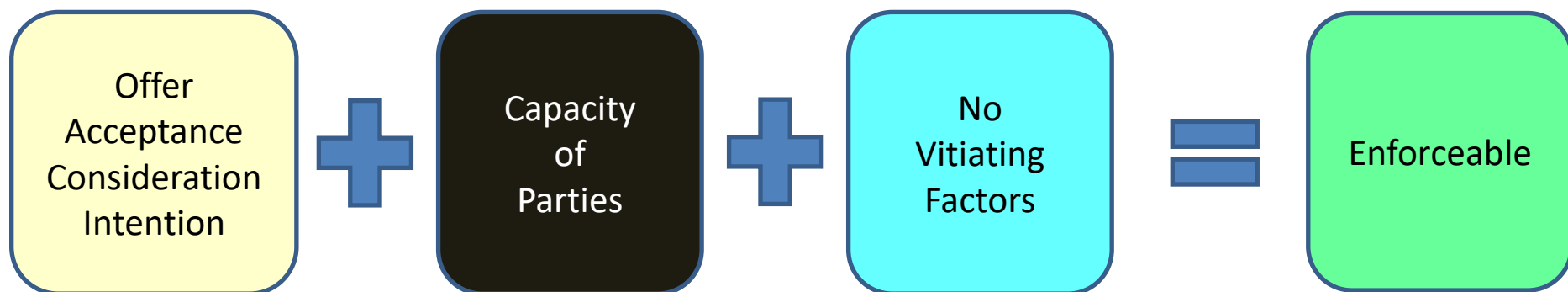
- An agreement that satisfies all the requirements at law.

To be a **Valid contract**, the following are relevant:

- Parties MUST have capacity and**
- NO other vitiating factors must be present**

If condition (i) and (ii) are satisfied, the contract is enforceable.

→ Courts will give effect to the contract / parties can sue on it.



Status of a contract

2. Void Contract

- The contract is treated it never existed at law because of a serious flaw

Example 1

*Contract entered into by a **foreign person** for purchase a **restricted property** without government's approval. Refer to the Residential Property Act.*

3. Voidable Contract

- It is treated as a valid contract at law and may be either **affirmed** or **rejected** at the option of one contract party.

Example 2

Purchaser signing an Option To Purchase contract, he/she can void by not exercising the option.

4. Unenforceable contract

- A valid and legally binding contract **that cannot be enforced** because certain formalities may not have been complied.

Example 3

*10 years ago, Ben borrowed money from Larry and both **signed IOU (contract)**. Larry cannot recover debt from Ben **after 6 years** from when the debt is overdue because of the **Limitation Act**. The contract is **unenforceable** unless Ben makes a new promise to pay or actually pays part of the debt.*

Terminology of “Ending” a Contract

Revocation

- This term is used in the context of offer and acceptance.
- To revoke an offer or an acceptance means to withdraw the offer or the acceptance.

Rescission

- This refers to the act of ending a contract such that it is ab initio (void from the start).
- The contract is treated as if it never existed.
- This term is confined in usage to cases of fraud, mistake or misrepresentation.

Repudiation

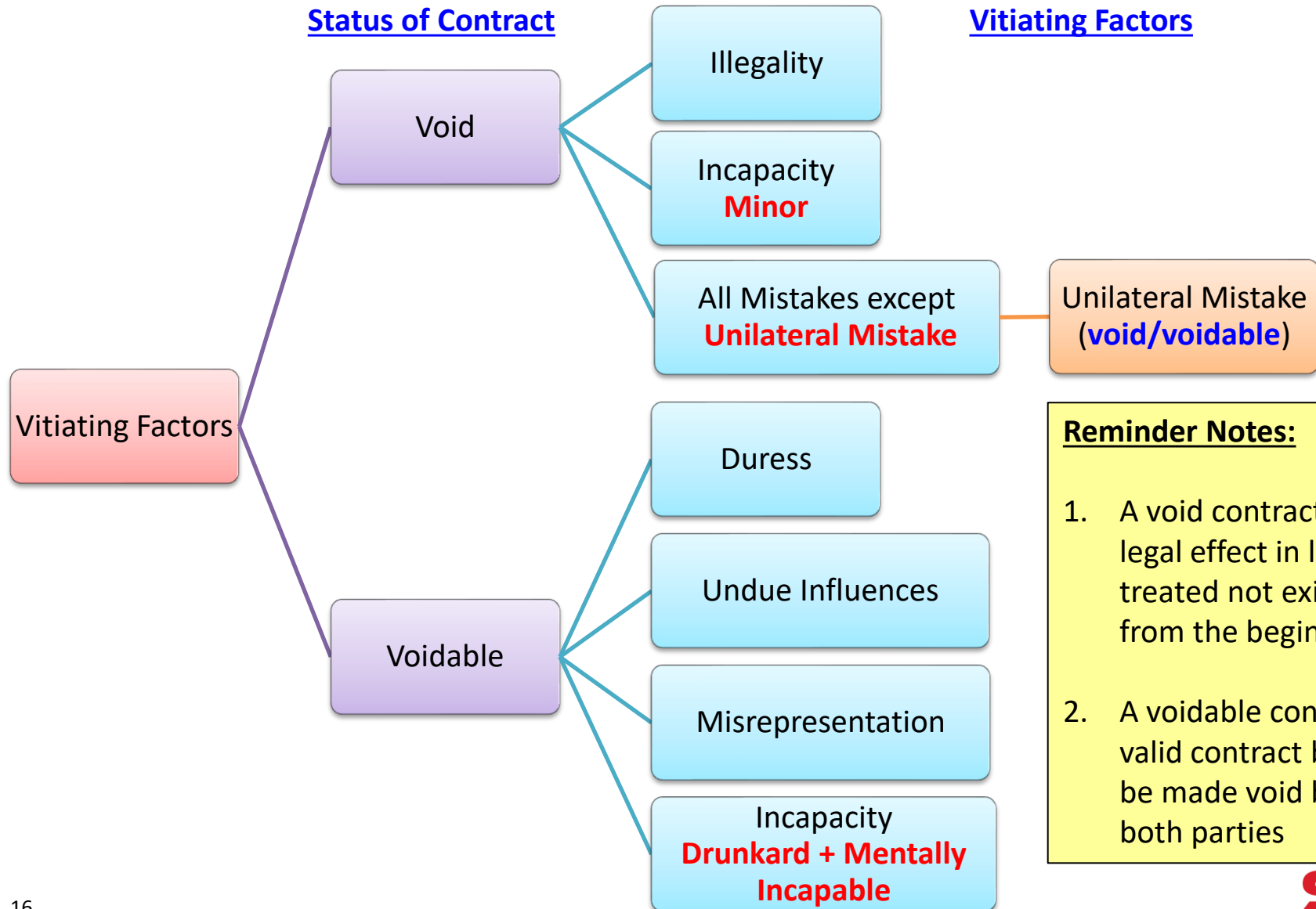
- This refers to the expression, by words or conduct, of a party's intention to not perform his obligations under a promise.
- The innocent party can either accept the repudiatory breach, in which case the contract is discharged, or affirm the contract in which case the contract remains on foot.

Renunciation

- This refers to a voluntary act by a party to **give up his/her rights and obligations** under a contract

Vitiating (invalidate or to make ineffective) Factors

1. Vitiating Factors are facts or circumstances which negate the contract
2. If vitiating factors are present, contract is either **Void** or **Voidable**



Illegality

Contracts Prohibited by Law

1. Contracts illegal at **common law**
2. Contracts rendered illegal by **statute**
3. Contracts involved in any of the following is illegal
 - *To commit a crime or tort*
 - *To promote sexual immorality*
 - *Promote corruption in public life*
 - *Evade revenue*

Example 1

Unlicensed Estate Agent signed a commission contract with a client

Example 2

Foreigners signed an OTP for purchase of landed property without LDAU approval.

Example 3

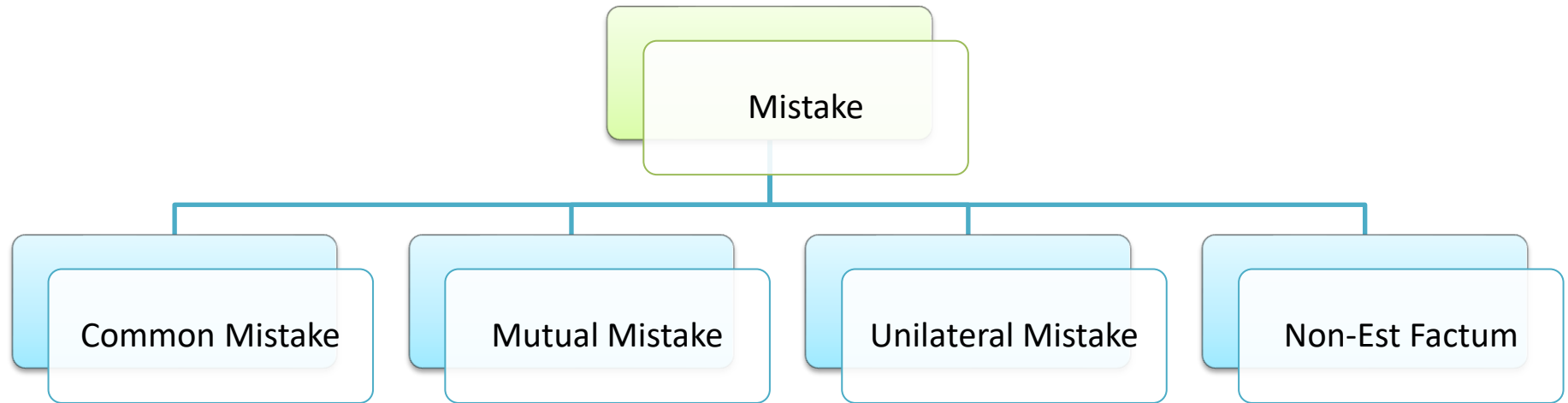
HDB OTP signed by foreigners who are not SPRs to buy HDB resale flats.

Example 4

Property transactions involving cash back.

Mistake

1. A mistake is an erroneous belief in contract
2. Enter contract on an assumption which later discover is false



Parties are in agreement but make same false assumption in forming a contract, so their contract is based on a situation which is false.

Parties are not really in agreement right from the start, as they make different assumptions in forming the contract.

Only one party has contracted on the basis of a false assumption.

A written contract is genuinely not in accordance with a parties' intentions

Mistake – Non Est Factum

1. It is applied to written and sign contract.
2. A contract that was signed was **fundamentally different** from the document that contract party believed it to be.

Or

3. Signature on the contract was signed by mistake **without knowledge of its meaning** (does not apply to failure to read a contract before signing it)
4. To claim **Non Est Factum**, the contract party must show
 - Not negligent
 - Document must significantly be different from one intended to be signed

Example 1 – Common Mistake

John and Harry agreed for the sale and purchase of a New Zealand property in Singapore. Both did not know that property completely destroyed by earthquake at the time the contract was made. This contract will be void.

Example 2 – Mutual Mistake

Sharon owns a landed property and a condominium in Sentosa. Serene was interested to buy 1 of the property. Sharon offered the condominium property at \$10 million to Serene and Serene accepted the offer with the impression of buying a landed property in Sentosa. Such contract will be void.

Example 3 – Unilateral Mistake

Chwee Kin Keong vs. Digilandmall. HP printers offered by Digilandmall at \$3854 but made an error on the price at \$66. Chwee Kin Keong placed large orders and Digilandmall refused to sell. Court ruled in favour of Digilandmall.

Example 4 – Non Est Factum

Illiterate old lady can claim back title to property she mistakenly conveyed to her son who misled her.

Example 5 – Non Est Factum – Case Lloyds Bank v Waterhouse (1990)

A father who **could not read or write** signed an agreement as guarantor for his son, thinking that it was for the purchase of a farm. In fact, it was also an agreement to be responsible for all of the son's previous debts. It was established that the father would not have signed the agreement **if he had known the true nature of it**, and he had taken steps to ask the bank for information. The plea of non est factum was upheld by the Court of Appeal on this occasion.

Duress

- Actual or threatened physical violence to oneself or family members
- Unlawful pressure + lack of free will = duress
- **Physical duress** – **threats of physical violence** e.g. threat to life or limbs
- Economic duress – use of **unlawful economic pressure** to compel a party to a contract to agree to demands which they would not have otherwise.

Undue Influences

- involves one person taking advantage of a position of power over another person
- unable to freely exercise free will
- Inducement (subtle pressure)

Note:

- Not wrong to influence someone into contract
- Only wrong when influence becomes excessive with unfair pressure on party to enter into contract

1) Actual Undue Influences

- Victim must show that the pressure put on him by the wrong doer negated his free will and induced him into signing the contract.

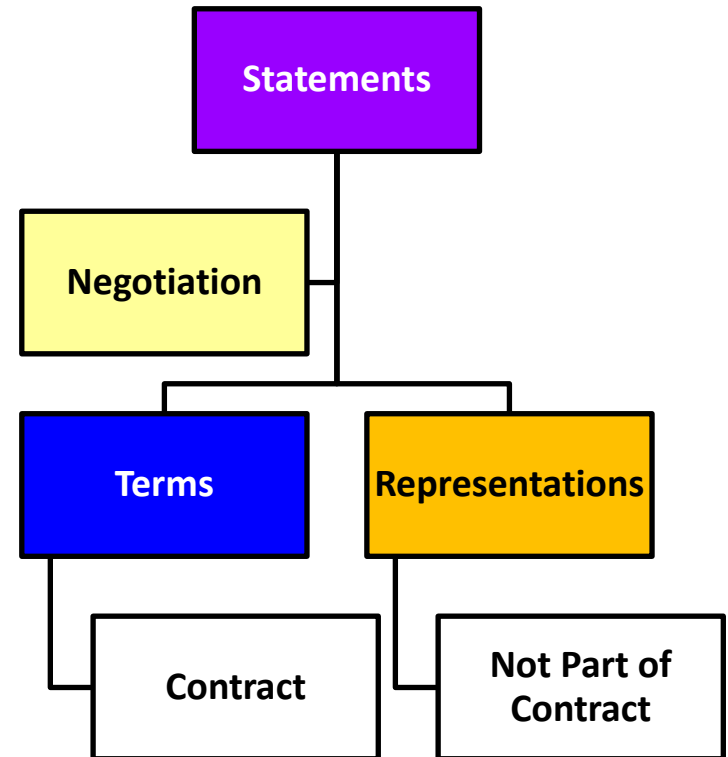
2) Presumed Undue Influences

- Parent and child
- Teacher and student
- Doctor and patient
- Lawyer and client
- Religious Leader and disciple

Statements = Terms of Contract ?



1. A statement made during contractual negotiations and incorporated in contract is known as **Terms**
2. Unlikely everything spoken or written treated as terms, some may be **Representations**
3. A **statement** made during contractual negotiations and **induce** another party to enter into a contract
→ **Representations**



Case Study: *Chan Chor Tng and others v HUDC [1980] SGHC 27*

This case was about 17 owners suing HUDC which build Amberville

Note: HUDC was owned by Housing & Development Board and the Urban Redevelopment Authority

Plaintiffs were attracted by statement in the brochure “development offers residents a panoramic view of the sea and the neighbouring islands”

Defendant built Block 4 consisted a 13 storey tower instead Townhouse which blocked plaintiffs’ units at Block 2

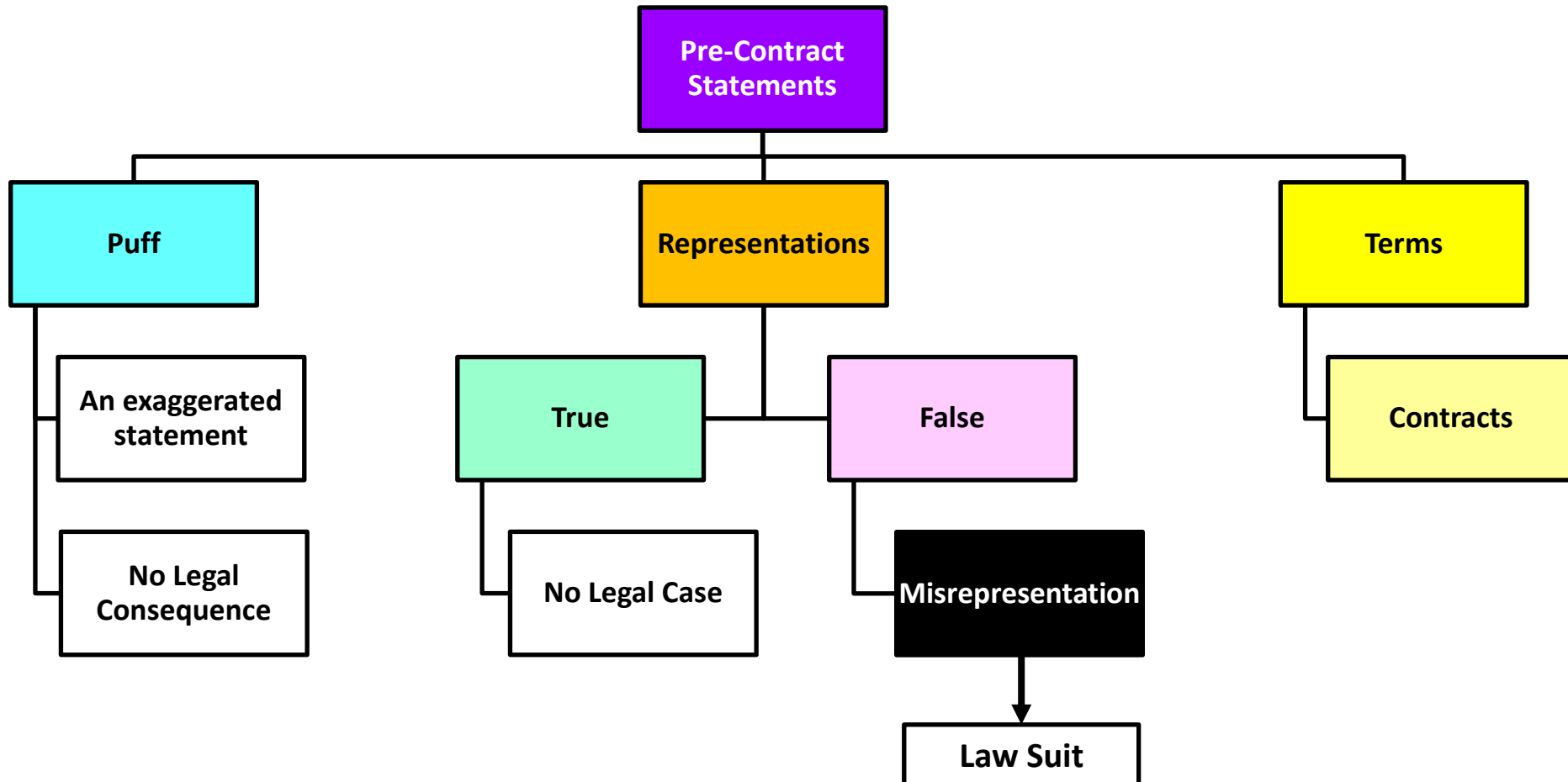
Outcome

1. Sale brochure stated “**panoramic view of the sea**”
 - **it was not an implied term**
2. But a **representation** → unblock sea view
 - defendant continue to build a block.
3. There was no breach of contract (terms) to buyers but an innocent misrepresentation existed.



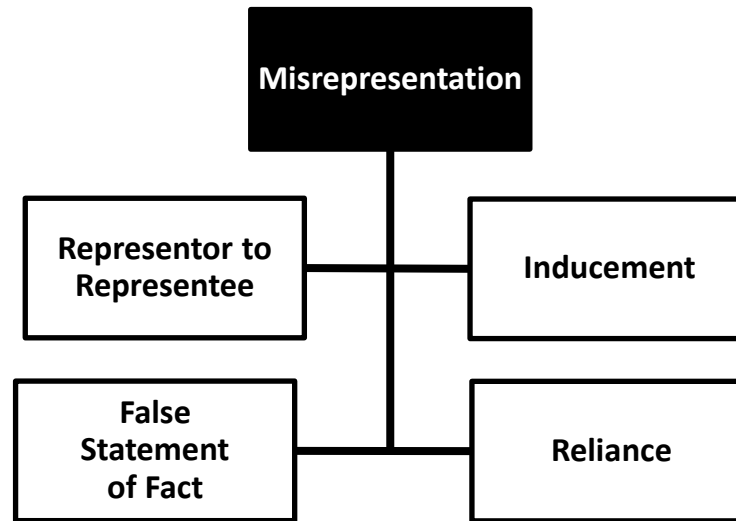
Misrepresentation

Since Representation is not part of contract, can a Contract Party liable for any statement made ?



Misrepresentation

Elements of Misrepresentation are:



Element 1 – Statement made by Representor to Representee

1. A misrepresentation is a **false statement** of a **material fact**
2. Made by **Representor** which affects **Representee's** decision in agreeing to a contract
3. **Representor** make a **pre-contract statement** to **Representee** which subsequently found untrue.
4. Statement **must be made** by **one contract party** to victim to enter the contract
→ A representation made by a **third party** is **immaterial**.

Misrepresentation

Element 2 – False Statement of Fact (Present or Past Existing Fact)

1. False Statement of Fact → Not a Statement of Opinion (Statement of Belief)

Example 1

“You will love this house” is a _____

Example 2

“This is the best bungalow in Singapore” is a _____

Example 3

Fred is a farmer trying to sell his farm to George who wants it for rearing sheep. Fred tells George that in his opinion, the farm will be able to support about 2000 sheep. George knows that Fred's farm has never been used to rear sheep. If the statement turns out to be false, George cannot sue Fred because the statement is only one of opinion.

2. Expert's Opinion is not exempted

Example 4

Real Estate Salesperson gives his opinion on possible tenure of a unknown property

How do you tell an opinion or fact ?

Example 5

A seller saying that his property is worth \$1,500,000 is _____

Example 6

A seller saying that he had paid \$1,500,000 for his property is _____

Element 2 – False Statement of Fact (Present or Past Existing Fact)

BEST IN SINGAPORE, JB AND SOME SAY BATAM

Phua Chu Kang
LIVE IN MALAYSIA

Featuring

Quill Convention Centre
23rd November 2019
7.45 pm

VIP RM 238 CAT 1 RM 188 CAT 2 RM 128

Tickets available @pck.qtic.my

MadSabah *Prakash Daniel*

Organiser: KEMAS, SHOW, Top10, Official Media: Quill, Supporting Radio Partner: RA RANGS PRODUCTIONS, Artist Management: Quill, Official Venue: V, Supporting Transport Partner: Petrol, Official Food & Beverage: The Garden, Official Hotel: The Garden.

Was it a misrepresentation ?

Misrepresentation

Element 3 – Inducement

- The statement is material (significantly important) and induce the victim to enter contract

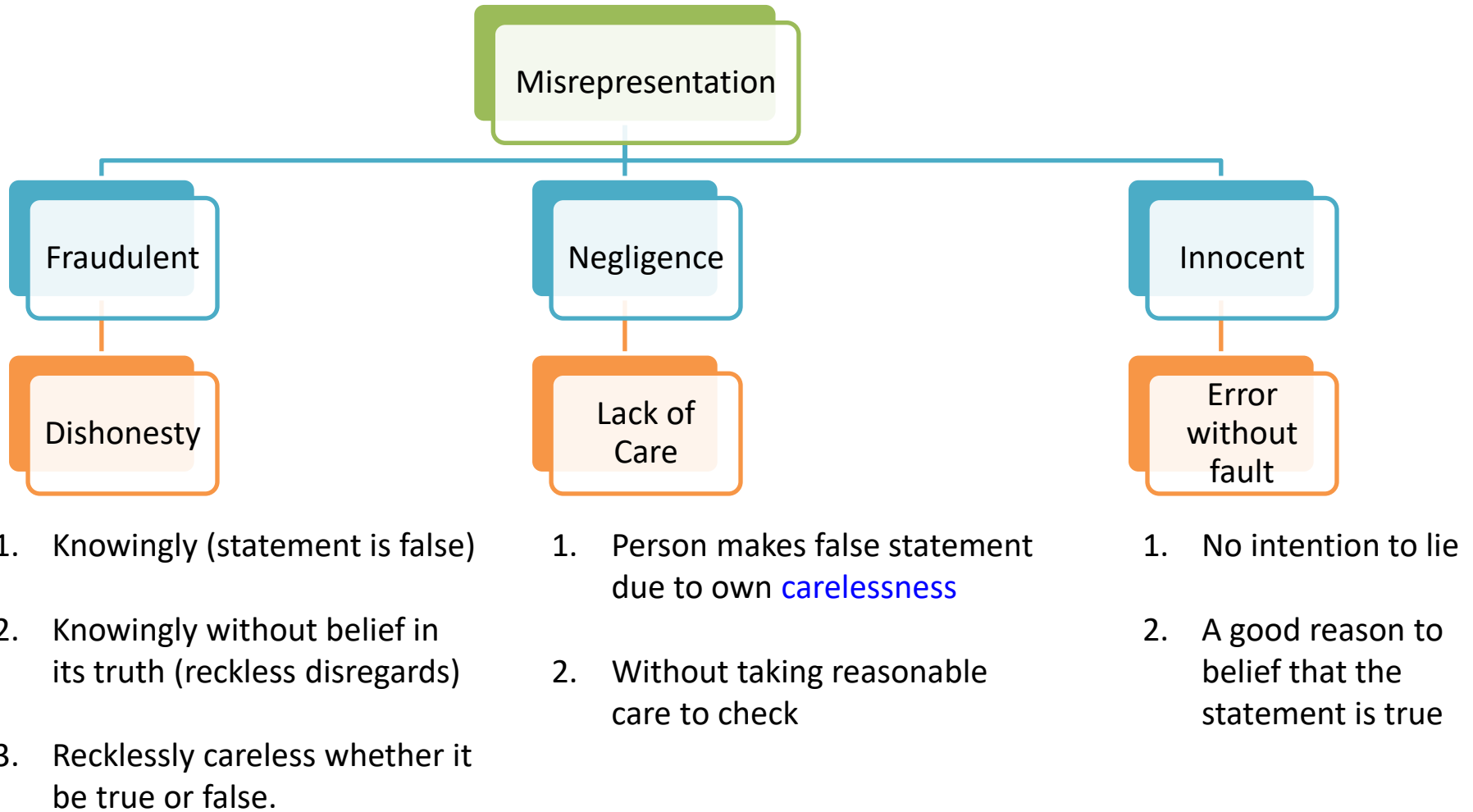
Element 4 – Reliance

- The victim must show that he relied on the misstatement and was induced into the contract by it.

Example 7

A salesperson made a statement to a buyer that he should buy this Grangeford Apartment unit because it was formerly owned by Jackie Chan. In actual fact, Jackie Chan did not own this unit. Eventually, buyer bought the property for the reason the property was \$500,000 below market price. Buyer cannot claim misrepresentation because he was not induced by that statement.

3 Types of Misrepresentation



Remedies for Misrepresentation

Fraudulent Misrepresentation	Negligence Misrepresentation	Innocent Misrepresentation
1. Rescission and	1. Rescission and	1. Rescission and
2. Damages	2. <u>Misrepresentation Act</u> Rescind the contract and claim damages awarded for negligent misrepresentation	2. <u>Misrepresentation Act</u> Rescind the contract and claim damages awarded for innocent misrepresentation
Refer to Panatron Pte Ltd v Lee Cheow Lee [2001] SGCA 49	s 2(1) Misrepresentation Act	s 2(2) Misrepresentation Act

Notes:

Please refer to lesson slides appendix for more Case Studies and Examples of Misrepresentation

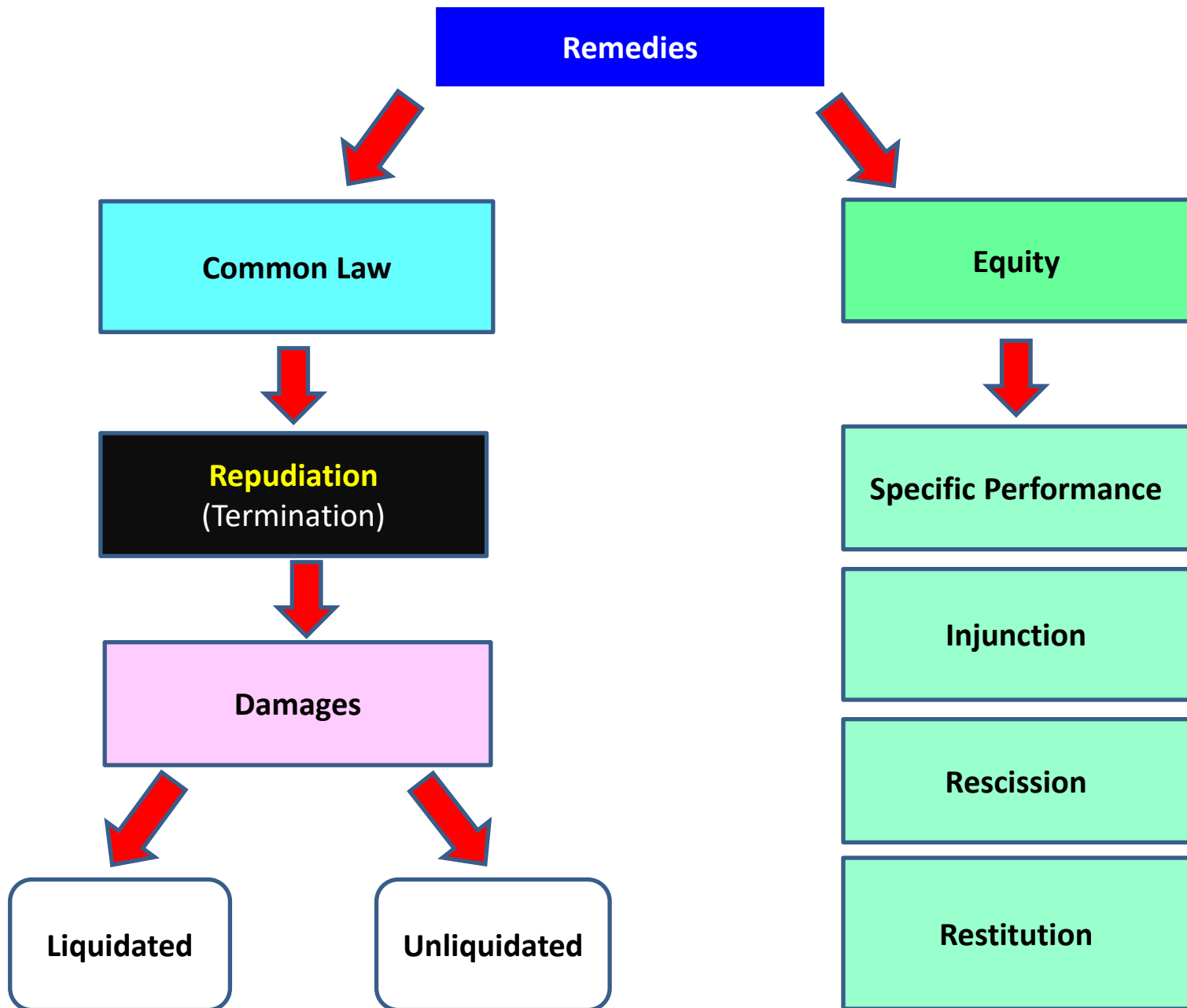
Capacity to Hold Property (Recap From Lesson 3 & 4)



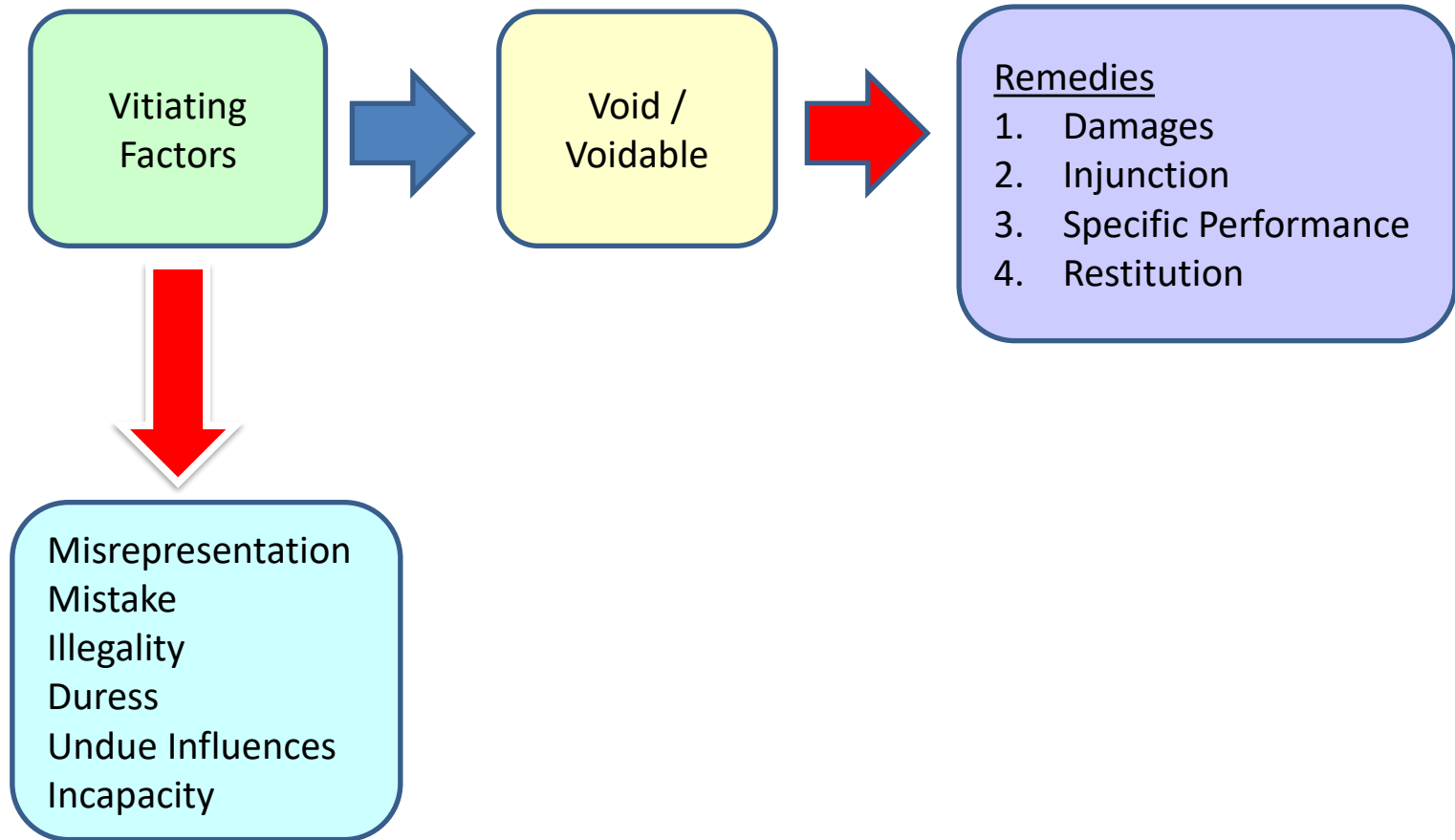
1. Individual
 - Age of Majority is 21 years old
 - Civil Law Act → 18 years old allow to sign tenancy agreement (not more than 3 years duration)
2. Business Entity: Sole Proprietor, Partnership, Private Limited Companies etc
3. Society, Clubs or Association with more than 10 persons

Incapacity

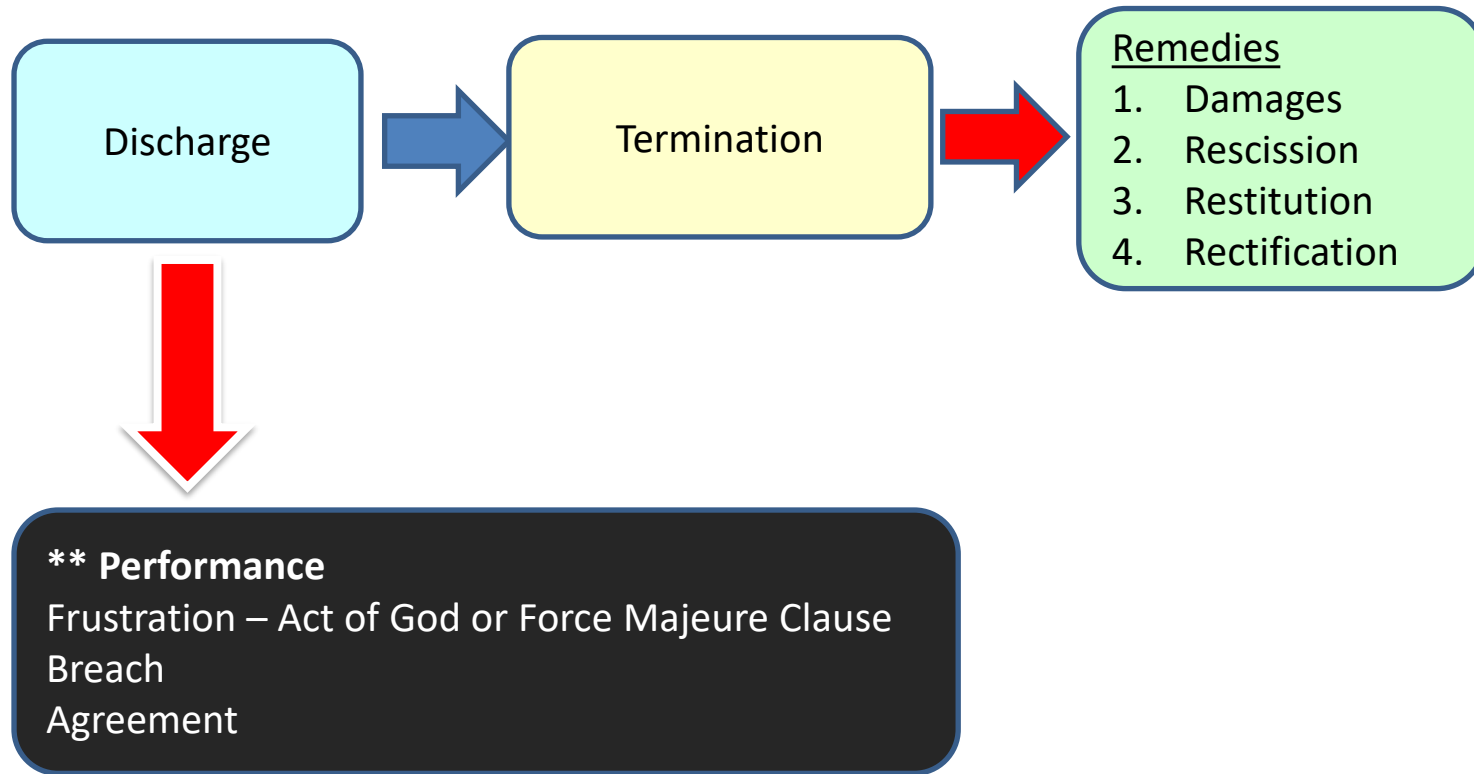
1. Minor is defined less than 18 years old → Minor entering any Real Estate Contract is void
2. Mentally ill (voidable)
3. Drunk (voidable)



Vitiating Factors vs Discharge of Contracts



Vitiating Factors vs Discharge of Contracts



A. Remedies - Damages

1. Monetary compensation is awarded to injured party
 - Breach of Contract
2. Objective of awarding damages was
 - **Compensate** for the damage suffered
3. Any **loss** claimed must be **proven**
4. Injured party **cannot claim more** than the **actual loss sustained**

Types of Damages

1. **Liquidated damages**
 - Damages that have been pre-agreed to by parties
2. **Unliquidated damages**
 - Damages that have not been pre-agreed to by parties
 - Determine by court.

B. Remedies – Specific Performance



1. **Court Order** requiring a contract party to **perform duty under a contract**
2. Usually in cases where **monetary compensation** is **inappropriate**

Case Study 1 - Coastland Properties Pte Ltd v Lin Geok Choo

Coastland Properties Pte Ltd (the 'seller') were the owners of an apartment (the 'property') which they contracted to sell to Ms Lin Geok Choo (the 'buyer') for S\$650,000 on terms set out in an option agreement. The property was then mortgaged to OCBC Bank ('the bank').

*The seller failed to complete the sale and the **buyer sued for specific performance**. The **seller** accepted that they were in breach of contract and were **agreeable to paying damages** to be assessed but **resisted** the claim for **specific performance***

The Decision Of The Court

*The Court in delivering its judgment declined to grant an order for specific performance as it was **not** satisfied that such a grant would be **right and fair** to all the parties concerned, including the bank.*

*In this case, the selling price of the property was below the redemption amount owing to the bank. Completion could not take place unless someone agreed to pay the bank the difference. From the evidence before the Court, the **seller was unable to pay the difference** and the buyer was not prepared to do so.*

B. Remedies – Specific Performance



Case Study 2 - Ku Yu Sang v Tay Joo Sing (1993) 3 SLR 938

Tay & his brother were joint owners of B1-124 Lucky Plaza. Tay warranted that he had the authority of his brother to sell the unit when this was not the case. (breach of warranty of authority → refer to later lesson on Law of Agency)

There was a contract concluded to sell the unit to Ku for \$470,000. The High Court ordered Tay to transfer his half share (Specific Performance) to Ku for \$235,000

Court of Appeal reversed the High Court's decision and ordered that damages be paid to the purchaser instead. It refused to order specific performance as it noted practical difficulties Ku would face as joint owner with Tay's brother who owned the other half share.

C. Remedies – Injunction

1. Court Order compel contract party to stop specific act
 - failed to honour his promises not to do something in the contract
2. To abide by a **negative term** in a contract.

Example

Food stall owner breached an agreement with coffeeshop owner not to sell food with drinks.
Coffeeshop applied injunction court order not to sell drinks

D. Remedies – Rescission

1. In contract law, rescission has been defined as the unmaking of a contract between parties
2. When a contract is voidable due to a vitiating factor for e.g. misrepresentation, The innocent party is **given the choice**
 - i. to **rescind** (**end**) the contract and claim damages for loss
 - ii. **affirm** (**carry on**) with the contract

E. Remedies – Restitution

The law of restitution is a legal doctrine that deals with

- the **restoration** of something, typically money or **property**, to its rightful owner or
- to provide compensation for unjust enrichment.

It is based on the principle of restoring the parties to their pre-contractual status

F. Remedies – Rectification

Rectification is a remedy whereby a court orders a change and correct a mistake in a written document to reflect what it ought to have said in the first place.

Real Estate Contract

S6(d) of Civil Law Act

Any contract for the sale or other disposition of immovable property or any interest in such property
– **must be evidenced in writing**

S87 of Land Title Act

Lease term is expressly exceeding 7 years must be registered

Conveyancing & Law of Property Act

Contracts for sale of land and leases of 7 years and more must be made by deed.

Examples of Real Estate Contracts:

- a) Option to Purchase (OTP)
- b) Sales & Purchase Agreement (S&P)
- c) Lease / Tenancy Agreement (TA)
- d) Collective Sales Agreement
- e) Prescribe Estate Agency Agreements → CEA

Option to Purchase

1. Grant by Property Owner → Purchaser
2. **Irrevocable** rights granted by property owners
3. Option Fee = maximum **\$1000** → HDB resale flat
= **1%** (usually) → Private Residential, Commercial or Industrial Properties
4. Accepting the OTP, purchaser exercised the OTP by signing at acceptance portion and pays

Option Exercise Fees = maximum \$4000 → HDB resale flat
= 4% (Private Residential) or 9% (Commercial or Industrial Properties)
5. Option Period = **14 days** (usually) → All resale properties except
= **21 days** **HDB resale flats & Uncompleted Units from Developers**
6. Purchaser has the option not to continue
7. **Conditional Contract (Purchaser)**
8. If the option expires without being exercised, the seller is entitled to forfeit the option money and sell the property to another buyer.
9. Terms and Conditions → **Law Society's Conditions of Sales, 2020**

OPTION TO PURCHASE

1. To exercise this Option, the Purchaser shall sign at the portion of this Option marked “ACCEPTANCE COPY”, and deliver this Option duly signed to the Vendor’s solicitors, _____ at

_____, Singapore _____,

(Attention: _____), and make payment of Singapore Dollars

_____ (\$ _____), which together with the Option Money shall constitute the “Deposit” for the purchase.

- ☐ *The said payment of \$ _____ shall be in favour of the “Singapore Academy of Law” by
**cheque/telegraphic transfer to [*Singapore Academy of Law’s designated account*] excluding bank charges and deductions. The *Singapore Academy of Law* shall hold the said payment as *stakeholder* pending completion in accordance with the Singapore Academy of Law (Conveyancing Money) Rules 2011 and instructions referred to therein.
- ☐ *The said payment of \$ _____ shall be in favour of [*(name of Vendor’s solicitors’ law practice - CVY)*] by
**cheque/telegraphic transfer to [*bank name & account no: _____*] excluding bank charges and deductions, to be held by the Vendor’s solicitors as stakeholders pending completion.

** Delete if not applicable. If both not applicable i.e. money to be paid to the Vendor, to delete both.*

*** Delete option that is not applicable.*

Compliance with statutory rules, law and the Law Society of Singapore’s Conditions of Sale 2020.

2. This sale and purchase is subject to the Law Society of Singapore’s Conditions of Sale 2020 (the “Conditions”) in so far as the Conditions are not contrary to or in conflict with the following:

(a) Conveyancing and Law of Property (Conveyancing) Rules 2011 as promulgated under the Conveyancing and Law of Property Act (Cap. 61) (“Conveyancing Rules”); and

(b) Singapore Academy of Law (Conveyancing Money) Rules 2011 as promulgated under the Singapore Academy of Law Act (Cap. 294A) (“SAL (Conveyancing Money) Rules”) (if applicable).

3. Where the terms and conditions of this Agreement are in conflict with the Conditions, the former shall prevail. Where the terms and conditions of this Agreement are in conflict with the Conveyancing Rules and/or the SAL (Conveyancing Money) Rules, the Conveyancing Rules and the SAL (Conveyancing Money) Rules shall prevail.

Sales & Purchase Agreement

1. A legal binding contract
2. Consideration = Deposit
3. Irrevocable rights and obligation for seller and purchaser
4. Breach of Contract → Legal Remedies
5. Commonly used on purchasing under constructions properties from license developers (Discussed in later lesson). Standardize format → Prescribe Contract set by authority

Example

- a) Condominium
 - b) Executive Condominium
-
6. Terms and Conditions → Law Society's Conditions of Sales, 2020

SALE & PURCHASE AGREEMENT

1. The Purchaser having paid the sum of Singapore Dollars _____
_____ (\$ _____) (the "Deposit") to:
- ☐ *the Singapore Academy of Law by **cheque/telegraphic transfer to [*Singapore Academy of Law's designated account: _____*] excluding bank charges and deductions, such Deposit to be held by the *Singapore Academy of Law as stakeholders* pending completion herein in accordance with the Singapore Academy of Law (Conveyancing Money) Rules 2011 and instructions referred to therein, the Vendor agrees to sell to the Purchaser the Property at the Sale Price subject to the terms and conditions hereinafter stated.
 - ☐ **[(name of) Vendor's solicitors law practice – CVY] by **cheque /telegraphic transfer to the [bank name & account no] excluding bank charges and deductions, such Deposit to be held by the Vendor's solicitors as stakeholders pending completion herein, the Vendor agrees to sell to the Purchaser the Property at the Sale Price subject to the terms and conditions hereinafter stated.*
 - ☐ *the Vendor, the Vendor agrees to sell to the Purchaser the Property at the Sale Price subject to the terms and conditions hereinafter stated.
- * Delete if not applicable.*
- ** Delete option that is not applicable.*

Compliance with statutory rules, law and the Law Society of Singapore's Conditions of Sale 2020.

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3. Where the terms and conditions of this Agreement are in conflict with the Conditions, the former shall prevail. Where the terms and conditions of this Agreement are in conflict with the Conveyancing Rules and/or the SAL (Conveyancing Money) Rules, the Conveyancing Rules and the SAL (Conveyancing Money) Rules shall prevail.

Law Society's Condition of Sales, 2020

1. A set of terms & conditions crafted to facilitate the sale & purchase of real estate.
2. Rights & Obligations of the seller & purchaser
3. **Not compulsory** but most agreements – HDB & JTC flats and Housing Developers properties have reference to them
4. There are **17 conditions**

Conditions of Sales, 2020

Condition 1 – Definitions and Interpretation

Condition 2 – Payment to Conveyance Account

Condition 3 – Documents of Title

- Purchaser has rights to inspect the title deed
- Shown the document not later than **one (1) month** before the Scheduled Completion Date

Condition 4 – Dishonoured Payment

- Vendor has rights:
 - i. To treat contract repudiated by Purchaser and rescind it **OR**
 - ii. **To affirm the contract** in accordance with the terms and condition

Conditions of Sales, 2020

Condition 5 – State and Condition of Property to be Delivered

5.1 Vendor must deliver the Property in the **same state and condition** as it was at the date of the option or the date of the contract

5.2 A sale with **vacant possession**, Vendor must **remove all movable property** upon completion

Condition 6 – Outgoings, Rents and Profits until Completion

6.1 Vendor entitled for rent, profits, expenses and levies* **before** completion date

6.2 Purchaser entitled for rent, profits, expenses and levies* **after** completion date

*MCST fees, repair, improvement, upgrading etc.

Where the Purchaser fails to complete, the Vendor may choose

- i. Late completion interest under Condition 9.1 **OR**
- ii. Retain rents and other profits while accounting for all outgoings, expenses and levies up to and including the Completion Date.

Condition 7 – Tax

7.1 Property Tax

7.2 GST

7.3 Withholding Tax

7.4 Seller's Stamp Duty

7.5 Buyer's Stamp Duty

Conditions of Sales, 2020

Condition 8 – State of Property as to Repair, etc

Subject to Conditions 5 and 10, the **Purchaser** is **deemed** to have **notice** of the **actual state and condition** of the Property as regards access, repair, light, air, drainage and in all other respects.

Condition 9 – Late Completion Interest

9.1 Purchaser Delays and Pays Interest

Purchaser must pay interest (**as liquidated damages**) commencing on the day following the Scheduled Completion Date, **up to and including the Completion Date of the sale**. Interest will be calculated on the purchase price (less any deposit and any sum paid to account) at **8% per annum**

9.2 Vendor Delays and Pays Interest

Vendor must pay interest (**as liquidated damages**) commencing on the day following the Scheduled Completion Date **up to and including the Completion Date**. Interest will be calculated on the purchase price at **8% per annum**.

9.3 If the Vendor has **delivered vacant possession** of the Property to the **Purchaser before** the Completion Date, and if no rent is payable by the Purchaser to the Vendor, then the **interest** payable to the Purchaser will be **reduced by a sum equivalent to a notional rent** calculated on the annual value of the Property as assessed by the Inland Revenue Authority of Singapore under the Property Tax Act (Cap 254).

Conditions of Sales, 2020

Condition 10 – Vendor’s Representation and Warranties

10.1 Vendor represents & warrants to the Purchaser → No unauthorised additions or alterations to the Property.

10.2 Vendor represents and warrants to the Purchaser that if the Property had been the subject of any transaction at an undervalue (including a gift):

- a) **3 years** (or such longer period as the relevant time, as the case may be, referred to in section 226 or 363 of the Insolvency, Restructuring and Dissolution Act 2018) has passed since the date of such transaction, unless paragraph (b) below shall apply; or
- b) **5 years** has passed since the date of such transaction, where any of the events as set out in section 525 or 526 of the Insolvency, Restructuring and Dissolution Act 2018 shall apply.

Condition 11 – Misdescription of Property

11.1. The Vendor believes (and the Purchaser accepts) that the property is correctly described as to quantity and otherwise.

11.2. The Property is sold subject to:

- (a) all quit and other rents and outgoings; and
- (b) all incidents of tenure, rights of way, and other rights and easements affecting the property.

11.3. If any error, misstatement or omission which is not material or does not considerably affect the value of the Property is discovered in the Contract, neither party will be entitled to annul the sale or claim any compensation.

Condition 12 – Demands of Local or Statutory Authorities

Condition 13 – Passing of Risk

Risk remains with the Vendor and shall pass to the Purchaser upon Completion or upon the Purchaser taking possession of the Property whichever is earlier.

Condition 14 – Conveyance

Condition 15 - Notice to Complete (main points only)

15.2 A Notice to Complete means a notice in writing requiring Completion in accordance.

15.7 Upon service of an effective Notice to Complete, parties **must complete** the transaction within twenty-one **(21) days** after the day of service of the notice.

15.8 Notwithstanding Condition 15.7, both parties still retain any intermediate right of rescission.

15.9 If the Purchaser does not comply with the terms of any effective Notice to Complete

- i. on the expiry of the Notice to Complete, Purchaser must immediately return all title deeds and documents in his possession that belong to the Vendor
- ii. Purchaser must at his own expense procure the cancellation of any entry relating to the Contract in any register
- iii. Vendor may forfeit and keep any deposit paid by the Purchaser and resell the property

Condition 15 - Notice to Complete (main points only)

15.11 If the Vendor does not comply with the terms of an effective Notice to Complete, then the **Purchaser may choose** either

- a) to enforce against the Vendor such rights and remedies as may be available to the Purchaser **at law** or **in equity** without any other notice under the Contract;

or

- b) to give a written notice to the Vendor to repay immediately to the Purchaser any deposit and any money paid on account of the purchase price.

This is without prejudice to the Purchaser's rights to damages

15.12 Upon the Vendor complying with the notice in Condition 15.11(b), **the Purchaser**

- a) will no longer be entitled to any right to specific performance of the contract;
- b) must return immediately all title deeds and documents in his possession that belong to the Vendor; and
- c) must procure the cancellation of any entry relating to the Contract in any register at the Vendor's expense.

Conditions of Sales, 2020

Condition 16 - Mediation

Vendor and Purchaser shall consider resolving the dispute or difference relating to the Contract through mediation prior arbitration or court proceedings

Condition 17 - Special Conditions

Should there be a conflict between any “special conditions” stipulated in a contract and the Conditions of Sale, the former shall prevail.

Appendix

Case Study and Examples of Misrepresentation

1. Fraudulent Misrepresentation is a false representation (with the **intention to deceive**) that is made:

- a. Knowingly (statement is false) or
- b. Knowingly without belief in its truth (**reckless disregards**) or
- c. recklessly, careless whether it be true or false.

In such a case, the representor would have committed deceit act and the victim is permitted to recover for all losses incurred as a consequence of the fraudulent misrepresentation, even for losses which might not have been reasonably foreseeable.

Important Notes:

All examples are presumed that victims had relied on the information provided to them to make a contract

Example 1 - Fraudulent Misrepresentation - **Knowing statement is false**

*James **knew** existing spalling concrete issues within an old bungalow. He persuaded Jack to buy this house and claims about non existence of such issue. Jack **relied** on his **statement** and purchase the bungalow through a contract.*

Fraudulent Misrepresentation



Example 2 - Fraudulent Misrepresentation - Knowing without belief in its truth

*A buyer asked seller's solicitor if there were any restrictive covenants on the land and the solicitor said he did not know of any. **He had not bothered to read the documents to make that statement.** The court held that even though the statement was literally true it was a misrepresentation. There were restrictive covenants and the contract could be rescinded.*

Example 3 - Fraudulent Misrepresentation - Reckless and careless whether it be true or false

Sharon (buyer) was searching for a condominium unit made from previous construction methodology and does not believe in buildings made of prefabricated technology. Serene (salesperson), helped Sharon to source for a condo unit and Sharon managed to view many condo units through Serene.

She was particularly interested in one of the condo units, Sharon questioned Serene about this building construction technology. Eager to close this deal, Serene suggested to Sharon to buy the condo unit and informed her that its construction was not by prefabricated technology which she had determined through her experience in the industry by looking at the age and structure of the building. Based on the salesperson's statement, Sharon bought the property.

Example 4 - "half-truth" or "partial truth," which means a party tells the truth but conceals or omits some material facts.

*Kelvin tells Ali that there is a freehold bungalow house for sale at 50% below market rate. He knew this land will be acquired by government in few months time but **he withheld this information.** Ali used INLIS to check that the tenure is correctly stated. However, he was anxious that someone would compete with him for the property, thus, he purchased it immediately.*

2. Negligent misrepresentation

A person makes a false statement to the contract party due to his/her own carelessness without taking reasonable care to check.

Example 5 – Negligent Misrepresentation - Careless

A real estate broker tries to sell a house to a buyer, who stresses his need for peace and quiet. The broker promises that the house is very quiet. In reality, the house next door is undergoing a very noisy reconstruction. Although the broker did not know this, her promise that the house was quiet was made without her having any reason to believe that that was the case. She simply assumed it. This would be a negligent misrepresentation

Example 6 - RBC Properties Pte Ltd v Defu Furniture Pte Ltd

In 2011, Defu Furniture Pte Ltd and RBC Properties Pte Ltd entered into a 5-year lease agreement for premises which RBC had represented. The State Lease only permitted the entire development to be used for B1 light industrial purposes and provides that other use required the approval of the SLA and may be subject to payment of a differential premium. Defu entered into the lease agreement on the faith of RBC's representation that no further approvals were necessary and commenced fitting out works shortly thereafter. Upon near-completion of fitting out works, SLA indicated that the premises could not be used as a furniture showroom unless a substantial differential premium was paid under the terms of the State Lease. Upon RBC's insistence that Defu pay the differential premium, Defu rescinded the lease agreement and commenced a suit against RBC in the High Court on RBC's negligent misrepresentation that the premises were approved for use as a showroom and won damages

3. **Innocent misrepresentation** – a person makes a false statement to the contract party without any intention to lie while having a good reason to belief that the statement is true and with reasonable basis. But the statement is still false and the party had entered the contract.

Example 6

Mary, a property agent tells her client that the house was newly renovated with marble flooring. She was not aware that the house was renovated for 5 years already and the floor tiles are made of granite.